

COVER SHEET

SEC Registration Number

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COMPANY NAME

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PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)

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Form Type

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Department requiring the report

M	S	R	D
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Secondary License Type, If Applicable

N	/	A
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COMPANY INFORMATION

Company's Email Address

compliance@topline.ph

Company's Telephone Number

(032) 505-6058

Mobile Number

09985664773

No. of Stockholders

Annual Meeting (Month / Day)

Second Friday of July

Fiscal Year (Month / Day)

12/31

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

Tara Tsarina B. Perez-
Retuya

Email Address

tara@topline.ph

Telephone Number/s

(032) 505-6058

Mobile Number

N/A

CONTACT PERSON'S ADDRESS

19th Floor, Latitude Corporate Center, Mindanao Avenue, Cebu Business Park, Brgy. Luz, Cebu City, Cebu

NOTE 1: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2: All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

SECURITIES AND EXCHANGE COMMISSION SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17
OF THE SECURITIES REGULATION CODE
AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended September 30, 2025
2. Commission Identification Number CS201330638
3. BIR Tax Identification No. 439-462-061
4. Exact name of issuer as specified in its charter Top Line Business Development Corp.
5. Province, country or other jurisdiction of incorporation or organization Cebu, Philippines
6. Industry Classification Code (SEC Use Only)
7. Address of issuer's principal office
- 19Floor, Latitude Corporate Center, Mindanao Avenue, Cebu Business Park,Brgy. Luz, Cebu City
- Postal Code 6000
8. Issuer's telephone number, including area code 032-5056058
9. Former name or former address, if changed since last report N/A
10. Securities registered pursuant to Sections 8 and 12 of the SRC or Sections 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common Shares	10,742,193,000

11. Are any or all of the securities listed on a Stock Exchange?

Yes ☒ No ☐

If yes, state the name of Such Stock Exchange and the class/es of securities listed therein:

The Philippine Stock Exchange, Inc. Common Shares

12. Indicate by check mark whether the registrant:

(a) Has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes ☒ No ☐

(b) Has been subject to filing requirements for the past ninety (90) days

Yes ☒ No ☐

PART I – FINANCIAL STATEMENTS

Item 1. Financial Statements

The Financial Statements are filed as part of this Form 17-Q.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

The Management's Discussion and Analysis of Financial Condition and Results of Operations are filed as part of this Form 17-Q

TOP LINE BUSINESS DEVELOPMENT CORP. AND SUBSIDIARIES

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
AS AT SEPTEMBER 30, 2025
(With Comparative Audited Figures as at December 31, 2024)

	Note	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
ASSETS			
Current Assets			
Cash	3	P280,443,304	P172,606,667
Trade and other receivables	4	574,579,352	461,242,939
Inventories	5	270,639,035	105,817,171
Due from related parties	13	779,241,224	520,899,733
Prepayments and other current assets	6	1,318,124,599	875,790,506
Total Current Assets		3,223,027,514	2,136,357,016
Noncurrent Assets			
Property and equipment, net	7	1,148,244,087	968,804,441
Right-of-use (ROU) asset, net	19	6,776,187	7,578,630
Intangible assets, net	8	1,300,806	888,694
Deferred tax assets	20	5,173,323	5,102,407
Other noncurrent assets	9	8,544,964	8,457,576
Total Noncurrent Assets		1,170,039,367	990,831,748
TOTAL ASSETS		P4,393,066,881	P3,127,188,764
LIABILITIES AND EQUITY			
Current Liabilities			
Trade and other payables	10	P76,726,344	P73,671,610
Loans payable, current	11	2,067,349,864	1,733,441,024
Mortgage payable, current	12	685,718	2,640,342
Lease liability, current	19	781,596	696,938
Income tax payable		3,572,590	18,602,762
Total Current Liabilities		2,149,116,112	1,829,052,676
Noncurrent Liabilities			
Loans payable, net of current portion	11	562,904,422	287,019,697
Mortgage payable, net of current portion	12	20,629,838	20,690,466
Lease liability, net of current portion	19	6,538,328	7,141,764
Total Noncurrent Liabilities		590,072,588	314,851,927
Total Liabilities		2,739,188,700	2,143,904,603
Equity			
Share capital	14	1,074,219,300	859,375,300
Additional paid-in capital	14	402,734,257	-
Retained earnings		175,064,115	122,468,582
Other comprehensive income	9	850,000	850,000
Total Equity Attributable to Equity Holders of the Parent Company		1,652,867,672	982,693,882
Non-controlling interests		1,010,509	590,279
Total Equity		1,653,878,181	983,284,161
TOTAL LIABILITIES AND EQUITY		P4,393,066,881	P3,127,188,764

See accompanying Notes to the Unaudited Interim Consolidated Financial Statements.

TOP LINE BUSINESS DEVELOPMENT CORP. AND SUBSIDIARIES

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE NINE-MONTH PERIODS ENDED SEPTEMBER 30, 2025 AND 2024

		Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	Note	2025 (Unaudited)	2024 (Audited)	2025 (Unaudited)	2024 (Audited)
SALES AND SERVICE INCOME –					
POINT IN TIME					
Commercial fuel trade		₱2,961,665,635	₱2,385,247,029	₱1,051,333,388	₱855,040,340
Retail		132,078,362	52,360,859	68,147,566	17,834,865
Non-fuel	15	642,146	109,528	267,940	60,384
		3,094,386,142	2,437,717,416	1,119,748,894	872,935,589
COST OF SALES AND OTHER DIRECT COSTS	16	(2,806,855,236)	(2,219,576,106)	(1,014,855,454)	(788,665,699)
GROSS INCOME		287,530,906	218,141,310	104,893,440	84,269,890
OTHER INCOME	18	107,014,689	85,137,184	33,843,241	21,527,883
GENERAL AND ADMINISTRATIVE EXPENSES	17	(129,388,080)	(104,210,190)	(51,786,821)	(40,688,857)
INTEREST EXPENSE	12	(119,339,518)	(78,347,083)	(42,614,100)	(25,099,874)
INTEREST INCOME	3	210,890	60,722	65,991	32,089
INCOME BEFORE INCOME TAX		146,028,887	120,781,943	44,401,751	40,041,131
PROVISION FOR INCOME TAX	20				
Current		(36,525,416)	(33,953,675)	(11,106,931)	(11,970,409)
Deferred		70,916	3,686,348	22,991	1,889,928
		(36,454,500)	(30,267,327)	(11,083,940)	(10,080,481)
NET INCOME		109,574,387	90,514,616	33,317,811	29,960,650
OTHER COMPREHENSIVE INCOME					
Change in fair value of investment at FVOCI, net of tax		-	150,000	-	150,000
TOTAL COMPREHENSIVE INCOME		₱109,574,387	₱90,664,616	₱33,317,811	₱30,110,650

Forward

	Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	2025 (Unaudited)	2024 (Audited)	2025 (Unaudited)	2024 (Audited)
NET INCOME (LOSS) ATTRIBUTABLE TO:				
Equity holders of the Parent Company	₱109,529,156	₱90,616,733	₱33,315,885	₱30,201,993
Non-controlling interests	45,230	(102,117)	1,923	(91,343)
	₱109,574,386	₱90,514,616	₱33,317,808	₱29,960,650
TOTAL COMPREHENSIVE INCOME (LOSS) ATTRIBUTABLE TO:				
Equity holders of the Parent Company	₱109,529,156	₱90,766,733	₱33,315,885	₱30,051,993
Non-controlling interests	45,230	(102,117)	1,923	(91,343)
	₱109,574,386	₱90,664,616	₱33,317,808	₱29,960,650
BASIC EARNINGS PER SHARE				
Net income attributable to equity holders of the Parent Company	₱109,529,156	₱90,616,733	₱33,315,885	₱27,024,472
Weighted average of outstanding common shares	10,026,043,333	6,770,833,333	10,026,043,333	6,770,833,333
	₱0.011	₱0.01	₱0.003	₱0.0034

See accompanying Notes to the Consolidated Financial Statements.

TOP LINE BUSINESS DEVELOPMENT CORP. AND SUBSIDIARIES

**UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE NINE-MONTH PERIODS ENDED SEPTEMBER 30, 2025 AND 2024**

	Attributable to Equity Holders of the Parent							Non-controlling interests	Total Equity
	Share capital (Note 14)	Additional paid-in capital (Note 14)	Deposit for future stock subscription (Note 14)	Retained earnings	comprehensive income		Total		
Balances as at January 1, 2025 (Audited)	₱859,375,300	₱-	₱-	₱122,468,582	₱850,000	₱982,693,882		₱590,279	₱983,284,161
Net income for the period	-	-	-	109,529,156	-	109,529,156		45,230	109,574,386
Net proceeds from initial public offering (IPO)	214,844,000	402,734,257	-	-	-	617,578,257		-	617,578,257
Cash dividends declared	-	-	-	(56,933,623)	-	(56,933,623)		-	(56,933,623)
Non-controlling interest	-	-	-	-	-	-		375,000	375,000
Balances as at September 30, 2025 (Unaudited)	₱1,074,219,300	₱402,734,257	₱-	₱175,064,115	₱850,000	₱1,652,867,672		₱1,010,509	₱1,653,878,181
Balances as at January 1, 2024 (Audited)	₱250,000,000	₱-	₱367,500,000	₱193,946,584	₱-	₱811,446,584	(₱1,136,672)		₱810,301,974
Net income for the period	-	-	-	90,616,733	-	90,616,733	(49,214)		60,553,966
Additional deposit	-	-	70,000,000	-	-	70,000,000	-		70,000,000
Issuance of shares	437,500,300	-	(437,500,000)	-	-	300	-		300
Non-controlling interest	-	-	-	-	-	-	1,750,000		1,750,000
Stock dividends	171,875,000	-	-	(171,875,000)	-	-	-		-
Change in fair value of investment at FVOCI	-	-	-	-	150,000	150,000	-		150,000
Balances as at September 30, 2024 (Audited)	₱859,375,000	₱-	₱-	₱112,688,317	₱150,000	₱972,213,617	₱503,273		₱972,716,890

See accompanying Notes to the Consolidated Financial Statements.

TOP LINE BUSINESS DEVELOPMENT CORP. AND SUBSIDIARIES

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE NINE-MONTH PERIODS ENDED SEPTEMBER 30, 2025 AND 2024

		Nine-Month Period Ended September 30,	
	<i>Notes</i>	2025 (Unaudited)	2024 (Audited)
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax		₱146,028,887	₱120,781,943
Adjustments for:			
Interest expense	12	38,113,504	78,347,083
Depreciation and amortization	7	35,563,363	29,889,886
Gain on sale of properties		(13,669,485)	(20,599,779)
Interest income	3	(210,890)	(60,722)
Operating income before working capital changes		205,825,379	208,358,411
Increase in:			
Trade and other receivables		(113,336,413)	(214,707,060)
Inventories		(164,821,864)	(16,458,664)
Prepayments and other current assets		(442,334,093)	(208,002,411)
Trade and other payables		3,054,732	21,822,054
Cash generated used for operations		(511,612,259)	(208,987,670)
Income tax paid		(51,555,588)	(26,728,867)
Interest received		210,890	60,722
Net cash used in operating activities		(562,956,957)	(235,655,815)
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisition of property and equipment	7	(238,417,620)	(112,698,663)
Acquisition of intangible assets	8	(525,573)	(427,365)
Advance rent capitalized as part of right-of-use asset		-	(185,731)
Proceeds from sale of properties		38,000,000	73,000,000
Increase in due from related parties		(258,341,491)	(296,355,621)
Increase in other noncurrent assets		(87,388)	(3,463,531)
Net cash used in investing activities		(459,372,072)	(340,130,911)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from availment of loan	11	1,148,982,474	1,822,154,876
Deposit for future stock subscription	14	-	70,000,000
Issuance of shares	14	-	300
Increase in noncontrolling interest		375,000	1,750,000
Net proceeds from IPO	14	617,578,257	-
Cash dividends	14	(56,933,623)	-
Payments of:			
Loans payable	11	(539,188,908)	(1,232,802,102)
Interest	12	(37,771,422)	(78,347,083)
Mortgage payable	12	(2,015,252)	(944,808)
Lease liability	19	(860,861)	(464,575)
Net cash provided by financing activities		1,130,165,665	581,346,608
NET INCREASE IN CASH		107,836,637	5,559,882
CASH AT JANUARY 1	3	172,606,667	123,840,606
CASH AT SEPTEMBER 30		₱280,443,304	₱129,400,488

Forward

Nine-Month Period Ended September 30,			
		2025	2024
	Note	(Unaudited)	(Audited)
SUPPLEMENTAL INFORMATION ON CASHFLOW INFORMATION			
Information on non-cash investing activities			
Capitalized borrowing cost	7	₱11,105,393	₱12,233,493
Set-up of right-of-use asset	19	-	8,462,823
		₱11,105,393	₱20,696,316

See accompanying Notes to the Consolidated Financial Statements.

TOP LINE BUSINESS DEVELOPMENT CORP. AND SUBSIDIARIES

NOTES TO THE UNAUDITED INTERIM CONSOLIDATED FINANCIAL STATEMENTS

1. Reporting Entity

General

Top Line Business Development Corp. (the "Parent Company") was incorporated in the Philippines and registered with the Securities and Exchange Commission (SEC) on July 12, 2013. On July 31, 2024, SEC approved the change in primary purpose of the Parent Company from the business of acquiring properties for leasing such as but not limited to land, building (residential and commercial), equipment and to engage in various types of service activities as it may be permitted by law to carry business related to any and all of kinds of petroleum and petroleum products, mineral oils, and other sources of energy, including purchase from within and outside of the country, storage, marketing, distribution, transport, use, wholesale exportation, refinement, treatment, manufacture of, and generally deal in fuel oils, gas oils, gasolines, lubricants, all kinds of petroleum and petroleum products, including but not limited to kerosene, diesel, gasoline, aviation gas, Liquefied Petroleum Gas (LPG) and Liquefied Natural Gas (LNG).

Its amended secondary purpose is to carry on and manage the general business of its subsidiaries, to raise capital or borrow money from not more than nineteen (19) lenders including its stockholders necessary to meet the financial requirements of its business, to invest in other companies and enter into joint venture agreements, to establish and operate branch offices or agencies, to acquire, take over, hold and manage the property and business and assume liabilities thereof and to act as corporate surety or guarantor, or otherwise provide financial support and/or security for the performance of any lawful obligations.

Topline Equity Corporation (TEC) (the "Ultimate Parent Company") owns about 77% of the Parent Company.

On June 15, 2023, the BIR and SEC approved the change in the Company's registered office address from 604 Globe Tower, Cebu Business Park, Samar Loop, Luz, Cebu City to 19th Floor, Latitude Corporate Center, Mindanao Avenue, Cebu Business Park, Brgy. Luz, Cebu City.

On October 8, 2024 and February 26, 2025, the SEC and Philippine Stock Exchange, Inc. (PSE), respectively, approved the application of the Parent Company for the listing and trading of up to 10,742,193,000 of its issued and outstanding common shares. The Parent Company received the Permit to Sell from the SEC on March 21, 2025. On April 8, 2025 the Parent Company completed its initial public offering ("IPO") and was listed in the PSE under the stock symbol "TOP".

The unaudited interim consolidated financial statements were approved and authorized for issuance by the Board of Directors (BOD) on May 15, 2025.

As at September 30, 2025 and December 31, 2024, the Parent Company holds investments in the following subsidiaries:

Name of Subsidiary	Country of Incorporation	Principal Activities	Ownership Interest	
			2025	2024
Light Fuels Corporation (LFC)	Philippines	Construction and operation of Fuel Station	99.75%	99.75%
Topline Logistics and Dev. Corp. (TLDC)	Philippines	Logistics Support Services	75%	75%

LFC

On April 22, 2022, the Parent Company subscribed in cash to 1.50 million shares of Light Fuels Corporation (*formerly Light Petroleum Corporation*), a domestic company engaged in construction and operation of fueling station, service station or gasoline station, with a par value of ₱100 per share representing 99.75% ownership.

On December 23, 2022, the Parent Company subscribed to additional 0.48 million shares of LFC with a par value of ₱100 per share.

TLDC

On October 16, 2023, the Parent Company subscribed in cash to 0.02 million shares of Top Line Logistics Development Corp. (TLDC), a domestic company engaged in managing and operating non-bonded warehouses and logistics support services with efficient storage of goods, with a par value of ₱100 per share representing 75% ownership. On July 15, 2024, the Parent Company cancelled 4,800 shares of its initial subscription. On September 30, 2024, the Parent Company subscribed in cash additional 6,250 shares of TLDC with a par value of ₱100 per share.

The following table summarizes the recognized amounts of assets acquired from and liabilities assumed for TLDC as at acquisition date:

	TLDC
Cash	₱2,145,092
Due to related party	(27,684)
Income tax payable	(4,153)
Deposit for future stock subscription	(480,000)
Total identifiable net assets acquired	₱1,633,255

2. Basis of Preparation, Statement of Compliance, Basis of Consolidation, and Summary of Significant Accounting Policies

Basis of Preparation

The unaudited interim consolidated financial statements as of September 30, 2025 and for the nine-month periods ended September 30, 2025 and 2024 have been prepared in accordance with Philippine Accounting Standard ("PAS") 34, *Interim Financial Reporting*. The accompanying unaudited interim consolidated financial statements do not include all the information and disclosures required in the annual financial statements, and should be read in conjunction with the Company's annual financial statements as at December 31, 2024.

The accompanying unaudited interim consolidated financial statements of the Group have been prepared on a going concern basis under the historical cost convention, except where a Financial Reporting Standard requires an alternative treatment (such as fair values) as disclosed where appropriate in these consolidated financial statements. All amounts are presented in Philippine peso, which is the functional currency of the Group. All values are rounded off to the nearest peso, except when otherwise indicated.

Statement of Compliance

The consolidated financial statements of the Group include the accounts of the Parent Company and its subsidiaries ("the Group") where the Parent Company has control. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

The unaudited interim consolidated financial statements of the Group have been prepared in accordance with Philippine Financial Reporting Standards (PFRSs). The term PFRSs in general includes all applicable PFRSs, Philippine Accounting Standards (PAS) and interpretations of the Philippine Interpretations Committee (PIC), Standing Interpretations Committee (SIC) and International Financial Reporting Interpretations Committee (IFRIC) which have been approved by the Philippine Financial and Sustainability Reporting Standards Council (PFSRSC) and adopted by the SEC.

Basis of Consolidation

The consolidated financial statements of the Group include the accounts of the Parent Company and its subsidiaries ("the Group") where the Parent Company has control. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the Group controls an investee if and only if the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee, and
- The ability to use its power over the investee to affect its returns

When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee

- Rights arising from other contractual arrangements
- The Group's voting rights and potential voting rights

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control.

Accounting Policies on Business Combination under Common Control. For business combinations involving entities under common control, the pooling of interest method is applied. Under this method:

- Recognition of Assets and Liabilities - The assets and liabilities of the combining entities are recognized at their historical carrying amounts as reflected in the financial statements of the combining entities, without any remeasurement to fair value.
- No Recognition of Goodwill - No goodwill is recognized because of the business combination. Any difference between the consideration paid and the carrying amounts of the assets and liabilities transferred is adjusted against equity.
- Income statements transactions – The consolidated income statement reflects the results of the combining entities.
- Elimination of Intercompany Transactions - Intercompany balances and transactions between the combining entities are eliminated in full in the consolidated financial statements.

Subsidiaries. Subsidiaries are entities controlled by the Parent Company. Subsidiaries are consolidated from the date of acquisition or incorporation, being the date on which the Group obtains control, and continue to be consolidated until the date such control ceases.

Non-controlling Interests. Non-controlling interests represent the portion of profit or loss and net assets in the subsidiaries not held by the Group and are presented separately in the consolidated statements of comprehensive income, and consolidated statements of financial position separate from equity attributable to equity holders of the parent.

An acquisition, transfer or sale of a non-controlling interest is accounted for as an equity transaction. No gain or loss is recognized in an acquisition of a non-controlling interest. The difference between the fair value of the consideration and book value of the share in the net assets acquired is presented under "Excess of consideration over the carrying value of non-controlling interests acquired or disposed" account within the equity section of the consolidated balance sheet. If the Group loses control over a subsidiary, it: (i) derecognizes the assets (including goodwill) and liabilities of the subsidiary, the carrying amount of any non-controlling interest and the cumulative translation differences recorded in equity; (ii) recognizes the fair value of the consideration received, the fair value of any investment retained and any surplus or deficit in the consolidated statement of income; and (iii) reclassifies the Parent Company's share of components previously recognized in other comprehensive income (OCI) to the consolidated statement of income or retained earnings, as appropriate.

Transactions Eliminated on Consolidation. All intragroup transactions and balances including income and expenses, and unrealized gains and losses are eliminated in full.

Accounting Policies of Subsidiaries. The financial statements of subsidiaries are prepared for the same reporting year using uniform accounting policies as those of the Parent Company.

Summary of Significant Accounting Policies

The accounting policies adopted are consistent with those followed in the preparation of the Group's annual consolidated financial statements as of and for the year ended December 31, 2024.

3. Cash

This account consists of:

	September 30, 2025	December 31, 2024
Cash on hand	₱1,942,281	₱623,585
Cash in banks	278,501,023	171,983,082
	₱280,443,304	₱172,606,667

Cash in banks earn interest at the prevailing bank deposit rates. Interest income earned from cash in banks amounted to as follows:

	Nine-Month Period Ended September 30,	
	2025	2024
Interest income	₱210,890	₱60,722

4. Trade and Other Receivables

This account consists of:

	September 30, 2025	December 31, 2024
Trade receivables	₱504,820,606	₱374,057,047
Other receivables	69,758,746	87,185,892
	₱574,579,352	₱461,242,939

Trade receivables are noninterest-bearing and are normally collected within the year.

Other receivables include receivables from related parties amounting to ₱67.5 million and ₱85.7 million as at September 30, 2025 and December 31, 2024, respectively (see Note 13).

5. Inventories

This account consists of:

	September 30, 2025	December 31, 2024
Fuel and lubricants	₱270,310,249	₱105,546,179
Non-Fuel	328,786	270,992
	₱270,639,035	₱105,817,171

Cost of inventories recognized as cost of goods sold in the consolidated statements of comprehensive income as presented in Note 16 is as follows:

	Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	2025	2024	2025	2024
Cost of inventories	₱2,788,264,142	₱2,213,562,492	₱1,008,616,558	₱786,723,972

6. Prepayments and Other Current Assets

This account consists of:

	September 30, 2025	December 31, 2024
Advances to suppliers	₱938,605,638	₱842,893,540
Net input VAT	80,123,267	2,553,568
Prepayments	14,395,694	13,014,313
Advances to contractors	285,000,000	17,329,085
	₱1,318,124,599	₱875,790,506

Advances to suppliers pertain to advance payments made by the Group to supplier for fuels which are yet to be delivered. These advances are drawn once purchase orders are placed by customers.

Prepayments include prepaid insurance, prepaid rental fuel depot, IPO related fees and prepayments for SAP maintenance.

Advances to contractors pertains to advance payments made by LFC to contractors for the construction, installation and fabrication of fuel station including the building façade and food station interiors.

Net input VAT pertains to the indirect tax paid by the Group on the local purchase of goods or services from a VAT-registered person.

7. Property and Equipment, Net

The movements in this account follow:

	Land	Building	Building Improvements	Leasehold Improvements	Store and Office Equipment	Station Equipment	Machinery and Equipment	Transportation Equipment	Furniture and Fixtures	IT Equipment	Tools Maintenance	Port Improvements	Construction in Progress	Total
Cost														
As at January 1, 2024	P1,168,000	P69,594,211	P7,936,435	P27,520,084	P4,791,123	P2,157,682	P20,053,418	P77,730,815	P3,694,492	P171,302	P-	P-	P714,084,220	P928,901,782
Additions	9,884,500	3,500,000	-	134,286	677,948	3,750,581	34,107	26,783,746	367,765	2,151,804	47,892	-	99,337,399	146,670,028
Disposal	(11,052,500)	(44,747,890)	-	-	-	-	-	-	-	-	-	-	-	(55,800,480)
Reclassification	-	-	-	-	-	-	-	-	-	-	-	668,715,669	(668,715,669)	-
As at December 31, 2024	-	28,346,231	7,936,435	27,654,370	5,469,071	5,908,263	20,087,525	104,514,561	4,062,257	2,323,106	47,892	668,715,669	144,705,950	1,019,771,330
Additions	-	125,000	31,592,144	-	992,099	114,947,611	1,186,902	20,935,479	63,958	-	21,336	-	68,553,091	238,417,620
Disposal	-	(28,346,231)	-	-	-	-	-	-	-	-	-	-	-	(28,346,231)
As at September 30, 2025	-	125,000	39,528,579	27,654,370	6,461,170	120,855,874	21,274,427	125,450,040	4,126,215	2,323,106	69,228	668,715,669	213,259,041	1,229,842,719
Accumulated depreciation														
As at January 1, 2024	-	4,318,231	672,982	2,307,229	1,387,110	301,561	690,969	7,911,009	806,345	35,474	-	-	-	18,430,910
Depreciation	-	2,624,007	273,670	2,787,582	1,047,741	322,210	2,180,276	12,065,137	535,261	164,038	5,740	13,930,576	-	35,936,238
Disposal	-	(3,400,259)	-	-	-	-	-	-	-	-	-	-	-	(3,400,259)
As at December 31, 2024	-	3,541,979	946,652	5,094,811	2,434,851	623,771	2,871,245	19,976,146	1,341,606	199,512	5,740	13,930,576	-	50,966,889
Depreciation	-	473,737	204,089	2,707,574	1,001,196	1,151,078	1,689,197	11,756,166	1,359,704	356,645	16,829	13,931,244	-	34,647,459
Disposal	-	(4,015,716)	-	-	-	-	-	-	-	-	-	-	-	(4,015,716)
As at September 30, 2025	-	-	1,150,741	7,802,385	3,436,047	1,774,849	4,560,442	31,732,312	2,701,310	556,157	22,569	27,861,820	-	81,598,632
Carrying amount														
As at September 30, 2025	P-	P125,000	P38,377,838	P19,851,985	P3,025,123	P119,081,025	P16,713,985	P93,717,728	P1,424,905	P1,766,949	P46,659	P640,853,849	P213,259,041	P1,148,244,087
As at December 31, 2024	P-	P24,804,252	P6,989,783	22,559,559	P3,034,220	P5,284,492	P17,216,280	P84,538,415	P2,720,651	P2,123,594	P42,152	P654,785,093	P144,705,950	P968,804,441

Depreciation and amortization charged to operations are as follows:

	Note	Nine-Month Period Ended September 30, 2025	Nine-Month Period Ended September 30, 2024	Three-Month Period Ended September 30, 2025	Three-Month Period Ended September 30, 2024
Property and equipment		P34,647,459	P29,041,806	P9,304,490	P11,193,825
Intangible assets	8	113,461	45,637	57,259	15,214
ROU asset	19	802,443	802,443	267,481	267,481
		P35,563,363	P29,889,886	P9,629,230	P11,476,520

Charged to:

	Note	Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
		2025	2024	2025	2024
Cost of sales and other direct costs	16	₱16,418,753	₱4,699,723	₱5,327,520	₱1,563,973
General and administrative expenses	17	19,144,610	25,190,163	4,301,710	9,912,547
		₱35,563,363	₱29,889,886	₱9,629,230	₱11,476,520

On June 30, 2024, the Parent Company sold properties to TEC and recognized a gain on sale amounting to ₱20.60 million as follows:

	Land	Building	Total
Consideration	₱15,000,000	₱58,000,000	₱73,000,000
Carrying amount	(11,052,500)	(41,347,721)	(52,400,221)
Gain on sale	₱3,947,500	₱16,652,279	₱20,599,779

On June 30, 2025, the Parent Company sold its building to TEC for ₱38.00 million, recognizing a gain of ₱13.67 million.

The Group capitalized borrowing costs pertaining to the construction of the port as follows:

	Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	2025	2024	2025	2024
Borrowing cost	₱11,105,393	₱12,233,493	₱3,651,197	₱4,016,316

The capitalization rate used for specific borrowings is 8.75%, the actual interest rate on the term loan (see Note 11).

Transportation equipment amounting to ₱93.72 million and ₱84.54 million as at September 30, 2025 and December 31, 2024, respectively, are held as collateral for the Group's mortgage payable (see Note 12).

The Group's management, after due consideration of the assessment of its assets for impairment, believes that there are no indications that the property and equipment as at September 30, 2025 and December 31, 2024 are impaired or its carrying amounts cannot be recovered.

8. Intangible Assets, Net

The movements in this account follow:

	Trademark	Computer Software	Total
Cost			
As at January 1, 2024	₱-	₱1,981,890	₱1,981,890
Additions	7,365	420,000	427,365
As at December 31, 2024	7,365	2,401,890	2,409,255
Additions	-	525,573	525,573
As at September 30, 2025	7,365	2,927,462	2,934,827
Accumulated Amortization			
As at January 1, 2024	-	1,448,091	1,448,091
Amortization	123	72,346	72,469
As at December 31, 2024	123	1,520,437	1,520,560
Amortization	-	113,461	113,461
As at September 30, 2025	123	1,633,898	1,634,021
Carrying amount			
As at September 30, 2025	₱7,242	₱1,293,564	₱1,300,806
As at December 31, 2024	₱7,242	₱881,453	₱888,695

9. Other Noncurrent Assets

This account consists of:

	Note	September 30, 2025	December 31, 2024
Investment in shares of stocks carried at FVOCI		₱3,220,894	₱3,220,894
Refundable deposit	19	5,324,070	5,236,682
		₱8,544,964	₱8,457,576

Investment in shares of stocks pertains to investment in shares of stock in Cebu Sports Club and Casino Español with cost of ₱1.22 million and ₱2.00 million, respectively, and is accounted for at FVOCI.

The Company recognized unrealized gain in fair value of investment in shares of stocks amounting to ₱1,000,000 in 2024. Movement in other comprehensive income is as follows:

	Gross amount	Deferred tax	Other comprehensive income, net of tax
Unrealized gain	₱1,000,000	(₱150,000)	₱850,000

10. Trade and Other Payables

This account consists of:

	September 30, 2025	December 31, 2024
Trade payables	₱21,050,102	₱29,512,400
Nontrade payables	36,431,422	12,070,603
Statutory payables	5,115,430	4,741,193
Accrued expenses	2,397,078	9,123,621
Retention payable	920,294	3,228,472
Others	10,812,018	14,995,321
	₱76,726,344	₱73,671,610

Trade payables are noninterest-bearing and are generally settled on a 30- to 60-day credit term.

Statutory payables pertain to VAT, SSS, Pag-IBIG, PhilHealth and withholding taxes which are normally settled in the following month.

Accrued expenses pertain to salaries, utility charges, rent and other expenses incurred which are normally settled in the following month.

Other Payables comprises accrued salaries, wages, and other payroll-related expenses that have been earned by employees as of the reporting date but remain unpaid.

11. Loans Payable

The movements in this account follow:

	September 30, 2025	December 31, 2024
Balance at beginning of the year	₱2,020,460,720	₱1,409,710,772
Availments	1,148,982,474	1,851,080,600
Settlements	(539,188,908)	(1,240,330,652)
Balance at end of year	2,630,254,286	2,020,460,720
Current portion of loans payable	(2,067,349,864)	(1,733,441,024)
Noncurrent portion of loans payable	₱562,904,422	₱287,019,697

The Group entered into various renewable credit facility agreements with several local banks. These loans have renewable terms ranging from 90 days to 180 days with fixed interest rates ranging from 7.25% to 8.50% annually in 2025 and 30 days to 150 days with fixed interest rates ranging from 6.50% to 8.75% annually in 2024. The loans were obtained to finance the Group's working capital requirements and are secured by the joint and several suretyship of certain stockholders and the mortgage of real assets.

Interest expense incurred for the loans amounted to as follows:

	Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	2025	2024	2025	2024
Interest expense	₱117,410,986	₱76,942,470	₱41,837,155	₱24,978,457

The Parent Company availed a term loan with the Development Bank of the Philippines for the construction of port. This loan is paid quarterly with an interest rate of 8.75% and matures on May 18, 2035. The Parent Company is required to comply with the following restrictive loan covenants, as amended on 19 December 2024:

- Not make or permit any material change in the character of its business from that being carried on at the date of the Agreement or engage in any business operation or activity other than those for which it is presently authorized by law.
- The Company should maintain a debt-to equity ratio not exceeding 70:30 at all times.
- The Company should not permit its current ratio to be less than 1 at any time.
- The Company should not permit its debt-service coverage ratio to be less than 1 at any time.

On May 8, 2024, DBP approved the amendment of the loan covenant on the Parent Company's existing term loan, permitting the change of ownership or control in its business due to the initiation of an IPO of the Parent Company's shares to the public.

As at September 30, 2025, the Parent Company has complied with these restrictive covenants.

Interest expense from the term loan that was capitalized amounted as follows:

	Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	2025	2024	2025	2024
Borrowing cost	₱14,419,582	₱12,233,493	₱6,965,386	₱4,016,316

12. Mortgage Payable

This account represents financing loans obtained from local banks for the purchase of transportation equipment. These loans are payable in 36-60 monthly installments with an effective annual interest rate of 24% in 2025 and 2024. In 2022, the Group availed additional loans which are payable in 36 installments until December 2024.

Details of the mortgage payable follow:

	September 30, 2025	December 31, 2024
Balance at beginning of the year	₱23,330,808	₱25,681,951
Settlements	(2,015,252)	(2,351,143)
Balance at end of year	21,315,556	23,330,808
Current portion of mortgage payable	(685,718)	(2,640,342)
Noncurrent portion of mortgage payable	₱20,629,838	₱20,690,466

The mortgage payable is collateralized by transportation equipment with carrying amount of ₱93.72 million as at September 30, 2025 and December 31, 2024, respectively (see Note 7).

Total interest expense presented in Statements of Comprehensive Income follows:

		Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	Note	2025	2024	2025	2024
Loans payable	11	₱117,410,986	₱76,362,670	₱41,837,155	₱24,398,657
Mortgage payable		1,586,449	1,613,201	548,903	579,800
Lease liability	19	342,083	371,212	228,042	121,417
		₱119,339,518	₱78,347,083	₱ 42,614,100	₱25,099,874

13. Related Party Disclosures

Related party relationships

Details of significant related parties are as follows:

Related parties	Nature of Relationship	Country of Incorporation
Topline Equity Corporation (TEC)	Ultimate Parent Company	Philippines
Topline Services and Development Corporation (TSDC)	Affiliate	Philippines
Topline Properties and Development Corporation (TPDC)	Affiliate	Philippines
Pier Eighty-Eight Ventures, Inc.	Affiliate	Philippines
Topline Energy and Power Development Corporation (TEPDC)	Affiliate	Philippines
Topline Hi Tech and Synergy Corporation (THTSC)	Affiliate	Philippines
Topline Transport and Services Corporation (TTSC)	Affiliate	Philippines
Topline Marina Wharf Development Corporation (TMWDC)	Affiliate	Philippines
Vikingland Corp.	Affiliate	Philippines
Topline Enterprise Corporation	Affiliate	Philippines
Shareholders	-	Philippines

Related party transactions and balances

The movements and the outstanding balances of the related party transactions follow:

		Outstanding Balance		Terms and Conditions
		September 30, 2025	December 31, 2024	
	Movements			
Other receivable				
<i>(Note 4):</i>				
TSDC (a)	Beginning	₱-	₱10,000,000	Unsecured, non-interest bearing, payable on demand
	Net Movement	-	(10,000,000)	
		-	-	
TPDC (b)	Beginning	-	3,000,000	Unsecured, non-interest bearing, payable on demand
	Net Movement	-	(3,000,000)	
		-	-	
Pier Eighty-Eight Ventures, Inc. (c)	Beginning	85,714,286	13,391,727	Unsecured, non-interest bearing, payable on demand
	Net Movement	(18,214,286)	72,322,559	
		67,500,000	85,714,286	
		₱67,500,000	₱85,714,286	
Due from:				
TEPDC	Beginning	₱162,762,770	₱12,655,595	Unsecured, non-interest bearing, payable on demand
	Net Movement	(83,000,000)	150,107,175	
		79,762,770	162,762,770	
				Unsecured,

TMWDC	Beginning	43,049,047	14,094,681	non-interest bearing, payable on demand
	Net Movement	(14,000,000)	28,954,366	
		29,049,047	43,049,047	
Vikingland Corp.	Beginning	97,872,800	10,964,890	Unsecured, non-interest bearing, payable on demand
	Net Movement	(38,854,977)	86,907,910	
		59,017,823	97,872,800	
THTSC	Beginning	85,743,873	33,842,277	Unsecured, non-interest bearing, payable on demand
	Net Movement	45,000,000	51,901,596	
		130,743,873	85,743,873	
TPDC	Beginning	131,471,243	18,890,000	Unsecured, non-interest bearing, payable on demand
	Net Movement	252,990,728	112,581,243	
		384,461,971	131,471,243	
Topline Enterprise Corporation	Beginning	-	-	Unsecured, non-interest bearing, payable on demand
	Net Movement	96,205,740	-	
		96,205,740	-	
		₱779,241,224	₱520,899,733	

Forward

		Outstanding Balance		Terms and Conditions
		September 30, 2025	December 31, 2024	
	Movements			
Deposit for future stock subscription (Note 14):				
Shareholders	Beginning	₱-	₱367,500,000	Unsecured, non-interest bearing, payable on demand
	Net Movement	-	(367,500,000)	
		₱-	₱-	

Transactions with related parties principally consist of cash advances which are unsecured, noninterest-bearing, due and payable upon demand and settled through cash.

Notes:

- In 2023, the Parent Company entered into a lease agreement with Pier Eighty-Eight Ventures, Inc. on its port improvements with a term of ten (10) years. The Company recognized rental income as disclosed in Note 19.
- On June 30, 2024, the Parent Company sold properties to TEC for ₱73.00 million (see Note 7). As at December 31, 2024, the sale of properties has been paid.
- On June 30, 2025, the Parent Company sold its building to TEC for ₱38.00 million (see Note 7). As at September 30, 2025, the sale of the property has been paid.

Key Management Personnel

Compensation paid for key management personnel amounted to ₱4.46 million and ₱1.70 million for the nine-month periods ended September 30, 2025 and 2024, respectively.

14. Equity

The details of this account follow:

	September 30, 2025	December 31, 2024
Share capital	₱1,074,219,300	₱859,375,300
Additional paid-in capital	402,734,257	-
	₱1,476,953,557	₱859,375,300

Share Capital

The components of share capital consist of the following number of shares:

	September 30, 2025		December 31, 2024	
	Shares	Amount	Shares	Amount
Authorized shares				
At the beginning of year	16,000,000	₱1,600,000,000	2,500,000	₱250,000,000
Increase	-	-	13,500,000	1,350,000,000
Total	16,000,000	₱1,600,000,000	16,000,000	₱1,600,000,000
After 1:1000 stock split*			16,000,000,000	₱1,600,000,000
Issued shares				
At the beginning of year	8,593,753,000	₱859,375,300	2,500,000	₱250,000,000
Add: Subscription	2,148,440,000	214,844,000	6,093,753	609,375,300
Total subscribed and paid up	10,742,193,000	₱1,074,219,300	8,593,753	₱859,375,300
After 1:1000 stock split*			8,593,753,000	₱859,375,300

*The stock split resulted in the decrease of par value per share from ₱100 to ₱0.10.

On August 1, 2023, the BOD signed a resolution to increase the authorized share of stock from ₱250.00 million to ₱1.60 billion. On November 6, 2023, the Parent Company submitted its application for increase in authorized capital stock with SEC, which was approved on April 17, 2024.

As at September 2023, the Parent Company received additional cash amounting to ₱257.05 million as capital infusion from its stockholders. As at December 31, 2023, the Parent Company received a total of ₱367.50 million in cash as capital infusion from its stockholders.

On January 31, 2024, the BOD approved the initiation of an Initial Public Offering (IPO) of the Parent Company's shares to the public.

On the same date, the BOD and stockholders approved the stock split at a ratio of 1:1000. The stock split will result in the decrease of par value per share from ₱100 to ₱0.10.

In March 2024, the Parent Company received additional cash amounting to ₱70.00 million as capital infusion from its stockholders.

On April 17, 2024, the SEC approved the Parent Company's application for the increase in authorized capital stock. Subsequently, the Parent Company issued 4.38 million shares at ₱100 par value per share.

Stock Dividend

On March 15, 2024, the BOD of the Parent Company resolved that a portion of the unappropriated retaining earnings amounting to ₱171.88 million shall be set aside for the purpose of issuing 1.72 million shares of stock with a par value of ₱100 per share as stock dividends, payable in shares from the increase in authorized capital stock of the Parent Company.

The Parent Company is authorized to issue the corresponding proportionate shares of stock on all shares of common stock issued and outstanding to stockholders of record as at May 10, 2024. On May 24, 2024, the Parent Company issued the additional 1.72 million shares at ₱100 par value per share.

The movement in the shareholders' equity of the Group is presented as follows:

	Previous Balance*	After SEC Approval	After Stock Dividend
Authorized shares			
Number of shares	2,500,000	16,000,000	16,000,000
Amount	₱250,000,000	₱1,600,000,000	₱1,600,000,000
Par value per share	₱100	₱100	₱100
Share capital – issued and paid	₱250,000,000	₱687,500,000	₱859,375,000
Deposit for future stock subscription	437,500,000	-	-
Retained earnings - unappropriated	49,560,577	49,560,577	49,560,577
Retained earnings - appropriated	171,875,000	171,875,000	-
Total Equity Attributable to Equity Holders of the Parent Company	908,935,577	908,935,577	908,935,577
Non-controlling interests	(1,148,901)	(1,148,901)	(1,148,901)
Total shareholder's equity	₱907,786,676	₱907,786,676	₱907,786,676
Number of shares outstanding	2,500,000	6,875,000	8,593,750
Book value per share	₱363.11	₱132.04	₱105.63

*Balances as of March 31, 2024.

On July 12, 2024, the independent directors of the Company subscribed to 3,000 shares of the Parent Company with a par value of ₱0.10 per share.

On July 31, 2024, the SEC approved the Parent Company's application for the stock split. The effect of stock split on the Group's shareholders' equity is presented as follows:

	Previous Balance	After Stock Split
Authorized shares		
Number of shares	16,000,000	16,000,000,000
Amount	₱1,600,000,000	₱1,600,000,000
Par value per share	₱100	₱0.10
Share capital – issued and paid	₱859,375,000	₱859,375,000

Retained earnings	82,666,826	82,666,826
Total equity attributable to equity holders of the Parent Company	942,041,826	942,041,826
Non-controlling interests	(1,185,886)	(1,185,886)
Total shareholders' equity	₱940,855,940	₱940,855,940
Number of shares outstanding	8,593,750	8,593,750,000
Book value per share	₱109.48	₱0.11

On April 8, 2025, the Parent Company successfully listed 2,148,440,000 of its primary common shares on the Main Board of the Philippine Stock Exchange with an offer price of ₱0.31 per common share under the ticker symbol "TOP". The offering generated gross proceeds amounting to ₱666,016,400, with net proceeds after deducting underwriting fees, taxes, and other related expenses totaling ₱617,574,152, broken down as follows:

Expense*	Amount
Underwriting and selling fees	₱14,832,120
Legal counsel	13,019,116
Audit fees	2,242,500
TP fees	1,156,210
Other professional fees	2,638,973
PSE filing fee	9,585,945
SEC registration, research and listing fees	1,625,363
Documentary stamp taxes	2,148,440
Stock and transfer and receiving agency fees	872,490
Share lock up escrow agency fees	25,000
Estimated other expenses	296,091
Total	₱48,442,248

*Expenses are net of VAT and excludes unpaid IPO expenses as of reporting date.

Cash Dividend

On May 5, 2025 and August 18, 2025, the BOD of the Parent Company approved the declaration of cash dividends of ₱0.0032 and ₱0.0021 per common share to all stockholders of record as of May 22, 2025 and September 4, 2025, respectively. The cash dividends amounting to ₱34,375,018 and ₱22,558,605 were paid on June 18, 2025 and September 30, 2025, respectively, and funded from the unrestricted retained earnings of the Corporation as of December 31, 2024.

15. **Disaggregated Revenue Information**

The Group's disaggregation of revenue from sale of fuel account consists of the following revenues recognized at a point in time:

	Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	2025	2024	2025	2024
Commercial fuel trade	₱2,961,665,635	₱2,385,247,029	₱1,051,333,388	₱855,040,340
Retail	132,078,362	52,360,859	68,147,566	17,834,865
Non-fuel	642,146	109,528	267,940	60,384
	₱3,094,386,142	₱2,437,717,416	₱1,119,748,894	₱872,935,589

16. Cost of Sales and Other Direct Costs

This account consists of:

		Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	Note	2025	2024	2025	2024
Fuel and lubricants	5	₱2,788,264,142	₱2,213,562,492	₱1,008,616,558	₱786,723,972
Depreciation and amortization	7	16,418,753	4,699,723	5,327,520	1,563,973
Hauling		1,596,960	1,313,891	681,080	377,754
Other trade items		575,381	-	230,296	-
		₱2,806,855,236	₱2,219,576,106	₱1,014,855,454	₱788,665,699

17. General and Administrative Expenses

This account consists of:

		Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	Note	2025	2024	2025	2024
Salaries, wages and benefits		₱41,597,111	₱27,661,952	₱14,745,478	₱9,873,411
Taxes and licenses		21,654,027	19,057,008	10,430,234	6,534,868
Depreciation and amortization	7	19,144,610	25,190,165	4,301,710	9,912,550
Rent	19	13,649,745	4,975,445	7,842,302	2,097,369
Fuel, oil and lubricants		7,630,491	4,398,326	2,494,316	1,652,100
Commission		5,383,420	3,902,640	2,031,020	1,629,000
Utilities		2,627,436	1,712,030	1,252,399	621,932
Advertising		2,196,948	1,250,490	1,130,512	776,751
Professional fees		1,991,579	5,182,419	1,061,640	2,047,644
Merchant fees		1,950,942	45,686	751,423	4,890
Insurance		1,888,730	985,891	337,685	553,356
Materials and supplies		1,469,080	1,107,399	720,352	538,998
Bank charges		1,250,690	775,384	755,769	517,644
Representation and entertainment		1,055,452	1,114,441	405,264	395,064
Donation		1,010,000	71,940	5,000	17,000
Repairs and maintenance		913,414	2,115,045	629,163	324,264
Transportation		351,496	427,328	146,223	162,465
Security		244,368	-	244,368	-
Training		65,736	157,401	6,600	147,399
Miscellaneous		3,557,173	4,079,200	2,739,731	2,882,152
		₱129,388,080	₱104,210,190	₱51,786,821	₱40,688,857

Commission expense pertains to amounts given to the Group's sales team for facilitating or completing a sale. Commission expenses are based on volume sold per employee.

Miscellaneous expense consists of payments for gasoline, association dues, freebies and giveaways, subscription and hotel accommodation.

18. Other Income

This account consists of:

		Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	Note	2025	2024	2025	2024
Rental	19	P67,500,000	P64,285,714	P22,500,000	P21,428,571
Gain on sale of property	7	13,669,485	20,599,779	-	-
Hauling		201,600	221,200	77,000	90,300
Others		25,643,604	30,491	11,279,768	9,012
		P107,014,689	P85,137,184	P33,856,768	P21,527,883

19. Significant Contracts and Agreements

Parent Company as Lessor

In 2023, the Parent Company entered into a lease agreement with Pier Eighty-Eight Ventures, Inc. on its port improvements with a term of ten (10) years. The Parent Company recognized rent income under "Other Income" as follows:

		Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	Note	2025	2024	2025	2024
Other income	18	P67,500,000	P64,285,714	P22,500,000	P21,428,571

Subsidiary as a Lessor

In 2025, LFC entered into a lease agreement with Topline Enterprise Corporation for the sublease of commercial property. The lease covers a period of ten (10) years. LFC recognized rent income under "Other Income" as follows:

		Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	Note	2025	2024	2025	2024
Other income	18	P18,500,000	P-	P8,000,000	P-

Parent Company as a Lessee

Short-term Lease

On December 12, 2023, the Parent Company entered into an agreement for the lease of storage fuel tanks. The lease covers a period of one year commencing on January 1, 2024. The lease is renewable at the exclusive option of the lessee, at terms and conditions to be mutually agreed upon by both parties. On February 4, 2025, the Contract of Lease was renewed for another term ending December 31, 2025.

On July 12, 2024 and November 27, 2024, the Parent Company entered into agreements for the lease of additional storage fuel tanks, covering a period of one year ending on June 30, 2025 and September 30, 2025, respectively. The leases are renewable at the exclusive option of the lessee, at terms and conditions to be mutually agreed upon by both parties. As of September 30, 2025, the lease contracts were renewed with effectivity until June 30, 2026 and September 30, 2025, respectively.

Refundable security deposits amounted to P3.32 million as at September 30, 2025 and December 31, 2024 (see Note 9).

The Parent Company recognized rent expense on short-term lease and charged to "General and administrative expenses" (see Note 17) as follows:

	Nine-Month Period Ended September 30,		Three-Month Period Ended September 30	
	2025	2024	2025	2024
Rent expense	₱7,903,715	₱3,700,520	₱4,243,800	₱1,666,620

Subsidiary as a Lessee

On January 1, 2024, LFC entered into a sublease contract with TPDC on a commercial property. The lease covers a period of eight years.

Refundable security deposits amounted to ₱1.49 million as at September 30, 2025 and December 31, 2024 (see Note 9).

Set out below are the carrying amounts of lease liability and the movement:

	September 30, 2025	December 31, 2024
As at January 1	₱7,838,701	₱-
Additions	-	8,462,823
Accretion of interest	342,083	490,262
Payments	(860,860)	(1,114,384)
As at December 31	₱7,319,924	₱7,838,701
	September 30, 2025	December 31, 2024
Current	₱781,596	₱696,938
Noncurrent	6,538,328	7,141,764
	₱7,319,924	₱7,838,702

Right-of-use asset

Set out below are the carrying amounts and movement of right-of-use asset:

	September 30, 2025	December 31, 2024
Balance at beginning of the year	₱7,578,630	₱-
Additions	-	8,648,554
Depreciation	(802,443)	(1,069,924)
Balance at end of the year	₱6,776,187	₱7,578,630

Future minimum lease payments over the remaining term of the leases follow:

	September 30, 2025	December 31, 2024
Within one year	₱1,199,467	₱1,139,457
More than one year but less than five years	7,718,070	8,917,536
	₱8,917,536	₱10,056,994

The Subsidiary recognized rent expense on low-value assets and charged to “General and administrative expenses” (see Note 17) as follows:

	Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	2025	2024	2025	2024
Rent expense	₱5,746,030	₱1,274,925	₱3,598,501	₱430,749

Purchase Agreement

Advances to suppliers amounting to ₱938.61 million and ₱842.89 million as at September 30, 2025 and December 31, 2024, respectively, pertaining to advance payments made by the Group for the purchase of fuel which are yet to be delivered to the Group (see Note 6).

20. Income Tax

(a) The components of the Group’s provision for income tax follow:

	Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	2025	2024	2025	2024
Current income tax	₱36,525,416	₱33,953,675	₱11,106,931	₱11,970,409
Deferred income tax	(70,916)	(3,686,348)	(22,991)	(1,889,928)
	₱36,454,500	₱30,267,327	₱11,083,940	₱10,080,481

(b) The reconciliation of provision for income tax computed at the statutory income tax rate to provision for income tax as shown in the consolidated statement of comprehensive income is as follows:

	Nine-Month Period Ended September 30,		Three-Month Period Ended September 30,	
	2025	2024	2025	2024
Income before income tax	₱146,028,887	₱120,781,943	₱44,401,750	₱40,041,131
Income tax at statutory income tax rate of 25%	₱36,507,222	₱30,195,486	11,100,438	10,010,283
Add (deduct) tax effect of:				
Non-deductible expenses	-	35,594	-	26,852
Income subject to final tax	(52,721)	(21,863)	(16,497)	(14,764)
Effect of change in income tax rate*	-	58,110	-	58,110
	₱36,454,500	₱30,267,327	₱11,083,940	₱10,080,481

*TLDC presents its income tax at statutory income tax rate of 20% in its separate financial statements.

(c) The Group’s deferred tax assets arise from the following:

	September 30, 2025	December 31, 2024
<i>Presented in profit or loss:</i>		
Excess minimum corporate income tax (MCIT)	₱308,366	₱308,366
Upstream sale of property and equipment	4,832,590	4,832,590
Excess lease expense over lease payment	182,367	111,451
	5,323,323	5,252,406
<i>Presented in other comprehensive income:</i>		
Change in fair value of investment in FVOCI	150,000	150,000
	₱5,173,323	₱5,102,406

(d) As at September 30, 2025, the Group’s excess MCIT are as follows:

Year Incurred	Expiry Date	Incurred	Applied	Expired	End
2024	2027	₱308,366	₱-	₱-	₱308,366

(e) The movements of net deferred tax assets are accounted for as follows:

	September 30, 2025	December 31, 2024
Balance at January 1	₱5,102,406	₱-
Amount recognized in profit or loss	70,916	5,252,406
Amount recognized in other comprehensive income	-	(150,000)
	₱5,173,323	₱5,102,406

21. Earnings per Share

Earnings per common share amounts were computed as follows:

	Nine-Month Period Ended September 30,	
	2025	2024
a. Net income attributable to equity holders of the parent	₱109,529,156	₱90,616,733
b. Weighted average number of common shares issued and outstanding	10,026,043,333	6,770,833,333
	₱0.011	₱0.01

There are no dilutive potential common shares for the six-month periods ended September 30, 2025 and 2024.

22. Operating Segment Information

The Group's operations are organized under a single business segment and operating segment, as defined under PFRS 8 – *Operating Segments*. Management has determined that the Group has one operating segment based on the internal reports reviewed and used by the Chief Operating Decision Maker (CODM) in assessing performances and allocating resources.

The CODM, who is responsible for strategic decision-making and resource allocation, reviews the Group's performance on a consolidated basis. As such, the Group's resources are managed and its performance evaluated as a single business unit. No separate segment disclosures are therefore presented in these unaudited interim consolidated financial statements.

The Group's revenues are derived from its fuel operations, both commercial fuel trade and retail trade, and all operations are conducted within the Visayas region. The Group does not have any significant concentration of revenue from a single external customer exceeding 10% of total revenues.

23. Reconciliation of Liabilities Arising from Financing Activities

The table below details changes in the Group's liabilities arising from financing activities, including cash and noncash changes:

	Financing Cash Flows				September 30, 2025
	January 1, 2025	Availments	Payments	Noncash Changes	
Loans payable	P2,020,460,720	P1,148,982,474	(P539,188,908)	P-	P2,630,254,286
Mortgage payable	23,330,808	-	(2,015,252)	-	21,315,556
Lease liability	7,838,702	-	(860,860)	342,083	7,319,924
	P2,051,630,230	P1,148,982,474	(P542,065,020)	P342,083	P2,658,889,766

	Financing Cash Flows				September 30, 2024
	January 1, 2024	Availments	Payments	Noncash Changes	
Loans payable	P1,409,710,772	P1,838,893,400	(P1,240,330,651)	P12,187,200	P2,020,460,721
Mortgage payable	25,681,951	-	(2,351,143)	-	23,330,808
Lease liability	-	-	(1,114,384)	8,953,085	7,838,701
	P1,435,392,723	P1,838,893,400	(P1,243,796,198)	P21,140,285	P2,051,630,230

24. Financial Risk and Capital Management Objectives and Policies

Objectives and Policies

The Group has significant exposure to the following financial risks primarily from its use of financial instruments:

- Liquidity Risk
- Credit Risk
- Interest Rate Risk
- Other Market Price Risk

This note presents information about the exposure to each of the foregoing risks, the objectives, policies and processes for measuring and managing these risks, and for management of capital.

The Group's financial instruments are cash, trade and other receivables, due from related parties, refundable deposits (presented under "Other Noncurrent Assets"), trade and other payables (excluding VAT payable and statutory payables), due to related parties, mortgage payable, loans payable and lease liability.

The BOD has the overall responsibility for the establishment and oversight of the risk management framework of the Group.

The risk management policies of the Group are established to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and activities. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

Liquidity Risk

Liquidity risk pertains to the risk that the Group will encounter difficulty to meet payment obligations when they fall due under normal and stress circumstances.

The Group's objectives to manage its liquidity risk are as follows: (a) to ensure that adequate funding is available at all times; (b) to meet commitments as they arise without incurring unnecessary costs; (c) to be able to access funding when needed at the least possible cost; and (d) to maintain an adequate time spread of refinancing maturities.

The Group constantly monitors and manages its liquidity position, liquidity gaps and surplus on a daily basis. A committed stand-by credit facility from several local banks is also available to ensure availability of funds when necessary.

The table below summarizes the maturity profile of the Group's financial assets and financial liabilities based on contractual undiscounted receipts and payments used for liquidity management.

September 30, 2025				
	Note	Total	Due within one year	Due within 5 years
Financial Assets at Amortized Cost				
Cash	3	₱280,443,304	₱280,443,304	₱-
Trade and other receivables	4	574,579,352	574,579,352	-
Due from related parties	13	779,241,224	779,241,224	-
Refundable deposits	9	5,324,070	-	5,324,070
		1,639,587,950	1,634,263,880	5,324,070
Financial Liabilities at Amortized Cost				
Trade and other payables*	10	71,610,915	71,610,915	-
Loans payable	11	2,630,254,286	2,067,349,864	562,904,422
Mortgage payable	12	21,315,556	685,718	20,629,838
Lease liability	19	8,917,536	1,199,467	7,718,070
		2,732,098,294	2,140,845,964	591,252,330
Net undiscounted financial liabilities		(₱1,092,510,344)	(₱506,582,084)	(₱585,928,260)

*Excluding statutory payables amounting to ₱5.12 million as at September 30, 2025.

December 31, 2024				
	Note	Total	Due within one year	Due within 5 years
Financial Assets at Amortized Cost				
Cash	3	₱172,606,667	₱172,606,667	₱-
Trade and other receivables	4	434,348,088	434,348,088	-
Due from related parties	13	520,899,733	520,899,733	-
Refundable deposits	9	5,236,682	-	5,236,682
		1,133,091,170	1,127,854,488	5,236,682
Financial Liabilities at Amortized Cost				
Trade and other payables*	10	43,034,717	43,034,717	-
Loans payable	11	2,020,460,721	1,733,441,024	287,019,697
Mortgage payable	12	23,330,808	2,640,342	20,690,466
Lease liability	19	9,787,398	1,147,815	8,639,583
		2,096,613,644	1,780,263,898	316,349,746
Net undiscounted financial liabilities		(₱963,522,474)	(₱652,409,410)	(₱311,113,064)

*Excluding statutory payables amounting to ₱4.74 million as at December 31, 2024.

Credit Risk

Credit risk is the risk of financial loss to the Group when a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from receivables. The Group manages its credit risk mainly through the application of transaction limits and close risk monitoring. It is the Group's policy to enter into transactions with a wide diversity of creditworthy counterparties to mitigate any significant concentration of credit risk.

The Group has regular internal control reviews to monitor the granting of credit and management of credit exposures.

The carrying values of financial assets represents the maximum credit exposures. The maximum exposure to credit risk at the reporting date are as follows:

	Note	September 30, 2025	December 31, 2024
Financial Assets at Amortized Cost			
Cash in banks	3	₱278,501,023	₱171,983,082
Trade and other receivables	4	573,519,804	434,348,088
Due from related parties	13	779,241,224	520,899,733
Refundable deposits	9	5,324,070	5,236,682
		₱1,636,586,121	₱1,132,467,585

Analysis of the aged of financial assets is presented as follows:

September 30, 2025								
Note	Total	Neither past	Past due but not impaired				Impaired	
		due nor impaired	1-30 days	31-60 days	61-90 days	Over 90 days		
Financial Assets at Amortized Cost								
Cash in banks	3	₱278,501,023	₱278,501,023	₱-	₱-	₱-	₱-	₱-
Trade receivables	4	573,519,804	573,519,804	-	-	-	-	-
Due from related parties	13	779,241,224	779,241,224	-	-	-	-	-
Refundable deposit	9	5,324,070	5,324,070	-	-	-	-	-
		₱1,636,586,121	₱1,636,586,121	₱-	₱-	₱-	₱-	₱-
December 31, 2024								
Note	Total	Neither past	Past due but not impaired				Impaired	
		due nor impaired	1-30 days	31-60 days	61-90 days	Over 90 days		
Financial Assets at Amortized Cost								
Cash in banks	3	₱171,983,082	₱171,983,082	₱-	₱-	₱-	₱-	₱-
Trade receivables	4	460,243,788	460,243,788	-	-	-	-	-
Due from related parties	13	520,899,733	520,899,733	-	-	-	-	-
Refundable deposit	9	5,236,682	5,236,682	-	-	-	-	-
		₱1,132,467,585	₱1,132,467,585	₱-	₱-	₱-	₱-	₱-

Financial assets are considered as high grade if the counterparties are not expected to default in settling their obligations, thus credit risk exposure is minimal. These counterparties include banks and customers who pay on or before due date.

The Group does not hold any collateral against these financial assets as at September 30, 2025 and December 31, 2024.

Credit quality per class of financial assets

The Group's bases in grading its financial assets are as follows:

High grade	These are receivables which have a high probability of collection (i.e. those counterparty has the evident ability to satisfy its obligations).
Standard grade	These are receivables from counterparties with no history of default and are not past due as of the reporting date.
Substandard grade	These are receivables that can be collected provided the Group makes persistent effort to collect them.

The table below shows the credit quality by class of financial assets based on the historical experience with the corresponding third parties as at December 31, without taking account of any collateral held or other credit enhancements.

	September 30, 2025						
	Neither past due nor impaired				Past due but not impaired	Impaired	Total
	High grade	Standard grade	Sub-standard grade	Unrated			
Financial Assets at Amortized Cost							
Cash in banks (Note 3)	P278,501,023	P-	P-	P-	P-	P-	P278,501,023
Trade and other receivables (Note 4)	-	573,519,804	-	-	-	-	573,519,804
Due from related parties (Note 13)	-	779,241,224	-	-	-	-	779,241,224
Refundable deposit (Note 9)	-	5,324,070	-	-	-	-	5,324,070
	P278,501,023	P1,358,085,098	P-	P-	P-	P-	P1,636,586,121
	December 31, 2024						
	Neither past due nor impaired				Past due but not impaired	Impaired	Total
	High grade	Standard grade	Sub-standard grade	Unrated			
Financial Assets at Amortized Cost							
Cash in banks (Note 3)	P171,983,082	P-	P-	P-	P-	P-	P171,983,082
Trade and other receivables (Note 4)	-	460,243,788	-	-	-	-	460,243,788
Due from related parties (Note 13)	-	520,899,733	-	-	-	-	520,899,733
Refundable deposit (Note 9)	-	5,236,682	-	-	-	-	5,236,682
	P171,983,082	P960,484,503	P-	P-	P-	P-	P1,132,467,585

Cash in Banks. The Group limits its exposure to credit risk by dealing only with reputable banks that have good credit standing and relatively low risk of defaults. These instruments are graded in the top category by an acceptable credit rating and are considered to have low risk.

Trade Receivables. To limit its exposure to credit risk, the Group transacts only with credit worthy customers who have undergone its credit evaluation and approval process. The Group assesses the credit quality of the customer taking into account its financial position, past experience and other factors.

Due from Related Parties, and Refundable Deposits. For amounts due from related parties, credit risk is low considering the liquidity of the stockholders and their continuing guarantee to support the Group. For security deposits, credit risk is low since the Group only transacts with reputable parties with respect to this financial asset.

An impairment analysis is performed at each reporting date using the lifetime ECL allowance. The provision rates are based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

Financial assets as at September 30, 2025 and December 31, 2024 were assessed by management as neither past due or impaired.

Interest Rate Risk

Interest rate risk arises from the possibility that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long-term debt.

The Group's policy is to manage its interest cost by limiting its borrowings. The Group analyzes its loan facilities and choose the bank with lowest finance charges and interest rates. To manage future interest fluctuations on its obligations, the Group maintains significant amount of cash that is available when the interest and principal become due.

The Group is not exposed to interest rate as the Group's interest rate on bank loans is fixed.

Other Market Price Risk

The Group's market price risk arises from its purchase of fuel. The Group manages its risk arising from changes in market price by monitoring the changes in the market price of the fuel.

25. Fair Value Measurements

A comparison by category of the carrying amounts and fair values of the Group's financial instruments follows:

	September 30, 2025		December 31, 2024	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Financial Assets				
Cash	₱280,443,304	₱280,443,304	₱171,983,082	₱171,983,082
Trade and other receivables	574,579,352	574,579,352	434,348,088	434,348,088
Due from related parties	779,241,224	779,241,224	520,899,733	520,899,733
Refundable deposits*	5,324,070	3,342,027	5,236,682	3,287,171
Investment in shares of stock	3,220,894	3,220,894	3,220,894	3,220,894
	₱1,642,808,844	₱1,640,826,801	₱1,135,688,479	₱1,133,738,968
Financial Liabilities				
Trade and other payables**	₱71,610,915	₱71,610,915	₱68,930,417	₱68,930,417
Loans payable	2,630,254,286	2,630,254,286	1,897,500,920	1,897,500,920
Mortgage payable	21,315,556	21,315,556	23,330,808	23,330,808
Lease liability	7,319,924	8,917,536	10,056,994	10,056,994
	₱2,730,500,681	₱2,732,098,294	₱1,999,819,139	₱1,999,819,139

*Presented under Other Noncurrent Assets

**Excluding statutory payables amounting to ₱5.12 million and ₱4.74 million as at September 30, 2025 and December 31, 2024, respectively.

The following methods and assumptions are used to estimate the fair value of each class of financial instruments for which it is practicable to estimate such value:

Cash, Due from Related Parties and Trade and Other Payables (excluding statutory payables). The carrying values approximate their fair values due to the short-term maturity of these financial instruments.

Trade and Other Receivables and Refundable Deposits. The carrying values approximate their fair values at the date when the amount receivable becomes due.

Loans Payable and Mortgage Payable. The carrying amount approximates the fair value because these are interest-bearing loans at market rate.

Lease Liability. The fair value is estimated using the discounted cash flow methodology using the Group's current incremental lending rates for similar types of liabilities. There are no significant unobservable inputs in determining its fair value.

26. Capital Risk Management Objectives and Policies

The primary objective of the Group's capital management is to ensure its ability to continue as a going concern and that it maintains a strong credit rating and healthy capital ratios in order to support its business, maximize shareholder value, provide returns for shareholders and benefits for other stakeholders.

The BOD has overall responsibility for monitoring of capital in proportion to risk. Profiles for capital ratios are set in the light of changes in the Group's external environment and the risks underlying the Group's business operations and industry.

The Group sets the amount of capital in proportion to risk. The Group manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the Group may issue new shares or sell assets to reduce debt.

The following are the Group's capital:

	September 30, 2025	December 31, 2024
Share capital	₱1,074,219,300	₱859,375,300
Additional paid-in capital	402,734,257	-
Retained earnings	175,064,115	122,468,582
Other comprehensive income	850,000	850,000
Total Equity Attributable to Equity Holders of the Parent Company	1,652,867,672	982,693,882
Non-controlling interests	1,010,509	590,279
	₱1,653,878,181	₱983,284,161

MANAGEMENT'S DISCUSSION AND ANALYSIS (MD&A) OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following discussion and analysis of the Group's consolidated financial condition and results of operations should be read in conjunction with the unaudited interim consolidated financial statements and accompanying schedules and disclosures for the nine-month period ended September 30, 2025.

FACTORS AFFECTING THE GROUP'S RESULTS OF OPERATIONS

The Group's operations are influenced by several key factors including competition, price volatility, capital requirements, and evolving regulatory environments. Strategic initiatives continue to be implemented to mitigate associated risks and leverage opportunities arising from these factors.

Competition

Other than the "*Big Three*" in the liquid fuels industry¹, there are numerous other suppliers selling fuel products by retail and direct deliveries to customers. Each competitor comes in different forms and looks. Newer players keep on entering the retail segment, some of them with their own import activities. The Group endeavors to play along with the competition by cornering also the supply for the independent players, especially those without import capabilities.

Price Fluctuations

Price fluctuations in the world market instantly affects the Group's local demand and supply. Nowadays, it's common knowledge that almost all motorists anticipate the price movements every week and therefore timed their refill every Monday in anticipation of price adjustments the following day. This behavior tends to negate loyalty build up from customers as they also try to shop for stations with the best price. In this situation, location and service become the differentiating advantage to be able to maintain a certain customer segment.

Capital

Working capital is also very critical in terms of maintaining reliable supply level. Most suppliers maintain certain volume supply level with their customers that are covered by bank guarantees. The Group ensures consistent supply of fuel from its suppliers with prepayment transactions in most of the times. This requires strong financial supports from its creditor banks.

Regulations

Other than the laws governing the downstream oil industry, the local government units also play a vital role in the opening and operation of fuel service stations, transport and delivery of fuel supply, traffic regulations, and even zoning of business locations. In the local level, issuances of location permits and clearances differ from locality to another. The Group has to adjust to these realities to be able to expand and reach its customers and end users.

RESULTS OF OPERATIONS

Results of Operations as of September 30, 2025 vs September 30, 2024

For the nine-month period ended September 30, 2025, the Group reported consolidated revenues of ₱3.09 billion, a 26.9% increase from ₱2.44 billion for the same period in 2024. The significant growth was primarily driven by the sustained expansion in commercial fuel trade revenues and by the integration of the newly

¹ Center for Research and Communication Foundation, Inc. (2024, June). The Philippine Fuel Distribution Industry: Prospects, Risks, and Critical Success Factors

acquired retail fuel network, which contributed significantly to retail and non-fuel service revenues, alongside sustained growth in commercial fuel trade.

Sales and Other Income

Sales and service income in 9M 2025 rose to ₱3.09 billion, up 26.9% from ₱2.44 billion in the same period in 2024, representing 91.7% of 2024 full-year revenues. Commercial fuel trade continued to account for the bulk of revenues at 95.7%, and increased by 24.2% to ₱2.96 billion, while retail segment revenues surged to ₱132.08 million from ₱52.36 million in 2024, up by 152%, as a result of the consolidation of the retail network acquired in the 3Q of 2025.

Sales volume surged 32.8% to 68.74 million liters in the 9M 2025, compared to 51.78 million liters in the same period last year. This represents 93.6% of the Group's total 2024 sales volume of 72.4 million liters, underscoring sustained demand momentum.

Retail segment volume jumped by 168%, from 1.02 million liters to 2.73 million liters in 9M 2025, due to the Group's rapid network expansion.

Cost of Sales and Gross Income Margin

Gross profit improved by 31.8% year-on-year to ₱287.5 million from ₱218.1 million, raising the gross margin to 9.29% from 8.95%, and representing 99.5% of 2024 full-year gross profit.

Its efficient inventory management, reliability of supply, and ability to maintain inventory due to the operation of its supply depot contributed to the improvement of the Group's gross income margin.

General, Administrative and Interest Expenses

General and administrative expenses for the period amounted to ₱129.40 million, in line with the Group's growing operations and the costs associated with network acquisition, employee ramp-up, and logistics upgrades. The increase, however, represents a slighter ratio compared to the overall growth in sales as the general and administrative expenses represents 4.2% of the revenues in the 9M 2025.

Interest expense inched up slightly by ₱25.18 million compared to the same period in 2024, as additional working capital was secured to fund inventory and retail expansion.

Net Income

Net income after tax stood at ₱109.57 million, a 21.1% increase versus ₱90.51 million in 9M 2024. Net profit margin slightly lowered to 3.5% from 3.7% in 2024 due to increase in interest expense. Net income after tax already represents 102% of 2024 year-end earnings.

Financial Position as of September 30, 2025 vs September 30, 2024

Assets

As of September 30, 2025, the Group's total assets amounted to ₱4.39 billion, up 40% from ₱3.13 billion at year-end 2024. The growth was driven by IPO proceeds, increase in inventory due to stocking of fuel for the expanded retail network, and property and equipment due to the acquisition and development of new retail stations.

Liabilities

The overall liabilities of the Group increased by ₱595.28 million mostly coming from its loan balances to support the operational expansion and to fund network acquisition. The Group's liabilities are mostly

composed mostly of short term debt which are working capital in nature to support the Group's accelerating growth.

Stockholders' Equity and Capital Accounts

As of September 30, 2025, the Group's total equity rose to ₱1.65 billion, bolstered by new capital infusion from the IPO and accumulated earnings for the period.

Statement of Cash Flows as of September 30, 2025 vs September 30, 2024

Net cash flows provided by operating activities

Cash flow from operations recorded a net outflow of ₱562.97 million, mainly due to increases in trade receivables, inventory, and working capital.

Net cash flows used in investing activities

The net cash used in its investing activities amounted to ₱459.37 million as the Group acquired retail fuel network and embarked on constructing its planned retail service stations, and increased its tanker fleet to support the network expansion.

Net cash flows used in financing activities

The Group generated ₱1.13 billion in net cash from financing activities, composed of IPO proceeds and bank borrowings, partially offset by debt repayments and dividend distributions. The Group ended the period with ₱280.4 million in cash, up from ₱172.6 million.

Indebtedness

The Group has an outstanding loans payable of ₱562.90 million and ₱287.02 million as of September 30, 2025 and December 31, 2024, respectively.

KEY PERFORMANCE INDICATORS (KPIs)

		As at	
		September 30, 2025	December 31, 2024
Ratio	Formula		
Liquidity Ratios:			
Current ratio	Total Current Assets divided by Total		
	Current Liabilities	1.50	1.17
	Total Current Assets	₱3,223,027,514	
	Divide by: Total Current Liabilities	₱2,149,116,113	
Current ratio		1.50	
Quick ratio	Quick Assets divided by Total		
	Current Liabilities	0.40	0.35
	Quick Assets	₱855,022,656	
	Divide by: Total Current Liabilities	₱2,149,116,113	
Quick ratio		0.40	
Solvency Ratios:			
Debt ratio / Debt-to-asset ratio	Total Liabilities divided by Total		
	Assets	0.62	0.69
	Total Liabilities	₱2,739,188,701	
	Divide by: Total Assets	₱4,393,066,881	
Debt-to-asset ratio		0.62	
Debt-to-equity ratio	Total Liabilities divided by Total		
	Equity	1.66	2.18
	Total Liabilities	₱2,739,188,701	
	Divide by: Total Equity	₱1,653,878,181	
Debt-to-equity ratio		1.66	
Asset-to-equity ratio	Total assets divided by Total Equity	2.66	3.18
	Total Assets	₱4,393,066,881	
	Divide by: Total Equity	₱1,653,878,181	
	Asset-to-equity ratio		2.66
Profitability Ratios:			
Return on assets	Net Income divided by Average Total		
	Assets	0.03	0.04
	Net Income	₱109,574,387	
	Divide by: Average Total Assets	₱3,369,916,739	
Return on assets		0.03	
Return on equity	Net Income divided by Average Total		
	Equity	0.09	0.11

Ratio	Formula	As at	
		September 30, 2025	December 31, 2024
	Net Income	₱109,574,387	
	Divide by: Average Total Equity	₱1,280,832,429	
	Return on equity	0.09	

PART II – OTHER INFORMATION

The issuer may, at its option, report under this item, any information not previously reported in a report on SEC Form 17-C. If disclosure of such information is made under this Part II, it need not be repeated in a report on Form 17-C which would otherwise be required to be filed with respect to such information or in a subsequent report on Form 17-Q.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the Issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

TOP LINE BUSINESS DEVELOPMENT CORP.

By:


Eugene Erik C. Lapasaran Lim
Chairman of the Board
November 13, 2025


Eugene Erik C. Lapasaran Lim
President
November 13, 2025


Atty. Constance Marie C. Lim, CPA
Treasurer
November 13, 2025